

## GRANITE

Dislocation-reversion in individual corporate bonds — buying forced-seller mispricings on the TRACE tape.  
Bias-audited, 22-year backtest.

Asset class · US corporates IG+HY (CUSIP-level)

Backtest · 2002–2025 (survivorship-complete)

Benchmark · LQD (total return)

Universe · 73,835 bonds · 30M obs

+2.1%

EXCESS VS CTRL  
p<0.001

76%

WIN RATE  
68,721 trades

+1.6%

OOS EXCESS  
2016–2025

+5.57%

CAGR  
LQD +4.62%

+240.9%

TOTAL (22.6Y)  
LQD +177.5%

-14.1%

MAX DD\*  
LQD -25.0%

## GROWTH OF \$1 — TOTAL RETURN VS LQD



|                    | Total   | CAGR   | Max DD* |
|--------------------|---------|--------|---------|
| GRANITE strategy   | +240.9% | +5.57% | -14.1%  |
| LQD (total return) | +177.5% | +4.62% | -25.0%  |

## REGIME ROBUSTNESS — EXCESS VS MATCHED CONTROL

| Era           | Trades | Win | Mean/tr | Excess | p     |
|---------------|--------|-----|---------|--------|-------|
| 2004–2007     | 9,686  | 73% | +2.28%  | +0.51% | 0.02  |
| 2008–2009 GFC | 7,142  | 73% | +18.50% | +0.27% | 0.38  |
| 2010–2015     | 14,718 | 83% | +6.62%  | +1.93% | <.001 |
| 2016–2019     | 10,480 | 85% | +10.96% | +3.26% | <.001 |
| 2020 COVID    | 8,885  | 96% | +12.32% | +4.14% | <.001 |
| 2021–2023     | 18,671 | 46% | +0.48%  | +0.59% | <.001 |

## THE STRATEGY

Buy when a bond's ask prints  $\geq 3$  pts below its trailing 60-day median clean price (a forced-seller dislocation) and it clears a trailing-liquidity gate. Fill at the ask. Hold ~1 year; exit at the bid. Parameters transferred verbatim from the muni strategy — zero corporate-specific fitting.

## SIGNAL STRENGTH BY DEPTH (FULL SAMPLE)

| Threshold           | Trades  | Win | Excess | p     |
|---------------------|---------|-----|--------|-------|
| $\geq 1.0$ pt below | 116,549 | 74% | -0.00% | 0.57  |
| $\geq 2.0$ pt below | 88,748  | 75% | +0.90% | <.001 |
| $\geq 3.0$ pt below | 68,721  | 76% | +2.06% | <.001 |
| $\geq 4.0$ pt below | 54,688  | 77% | +3.49% | <.001 |

## IN-SAMPLE → OUT-OF-SAMPLE

| Window                  | Trades | Mean/tr | Excess |
|-------------------------|--------|---------|--------|
| In-sample 2002–2015     | 35,023 | +10.21% | +3.37% |
| Out-of-sample 2016–2025 | 34,834 | +5.97%  | +1.63% |

## Weakest regime — systemic crises

Mean-reversion is short a tail. The 2008 GFC is the softest era (+0.27% excess, not significant); it is positive/flat, not a loss, on the full universe. Size accordingly.

## BIAS AUDIT

- Survivorship: full TRACE tape, defaulters retained; 7–14% stale-exit losses taken.
- Selection: all 55,545 bonds, not a top-N cut.
- Look-ahead: point-in-time; params transferred from munis (no corp fitting).

## ANTI-OVERFITTING

- Regime & credit overlays rejected for failing OOS (+0.94% / +0.64% vs base +1.63%).
- Signal monotone in depth; IS & OOS both p<0.001.

## DATA &amp; EXECUTION

- Source: Open Source Bond Asset Pricing (TRACE), free.
- Fills at actual daily bid/ask (spread paid).
- Deeper thresholds ( $\geq 4$ pt) concentrate the alpha.